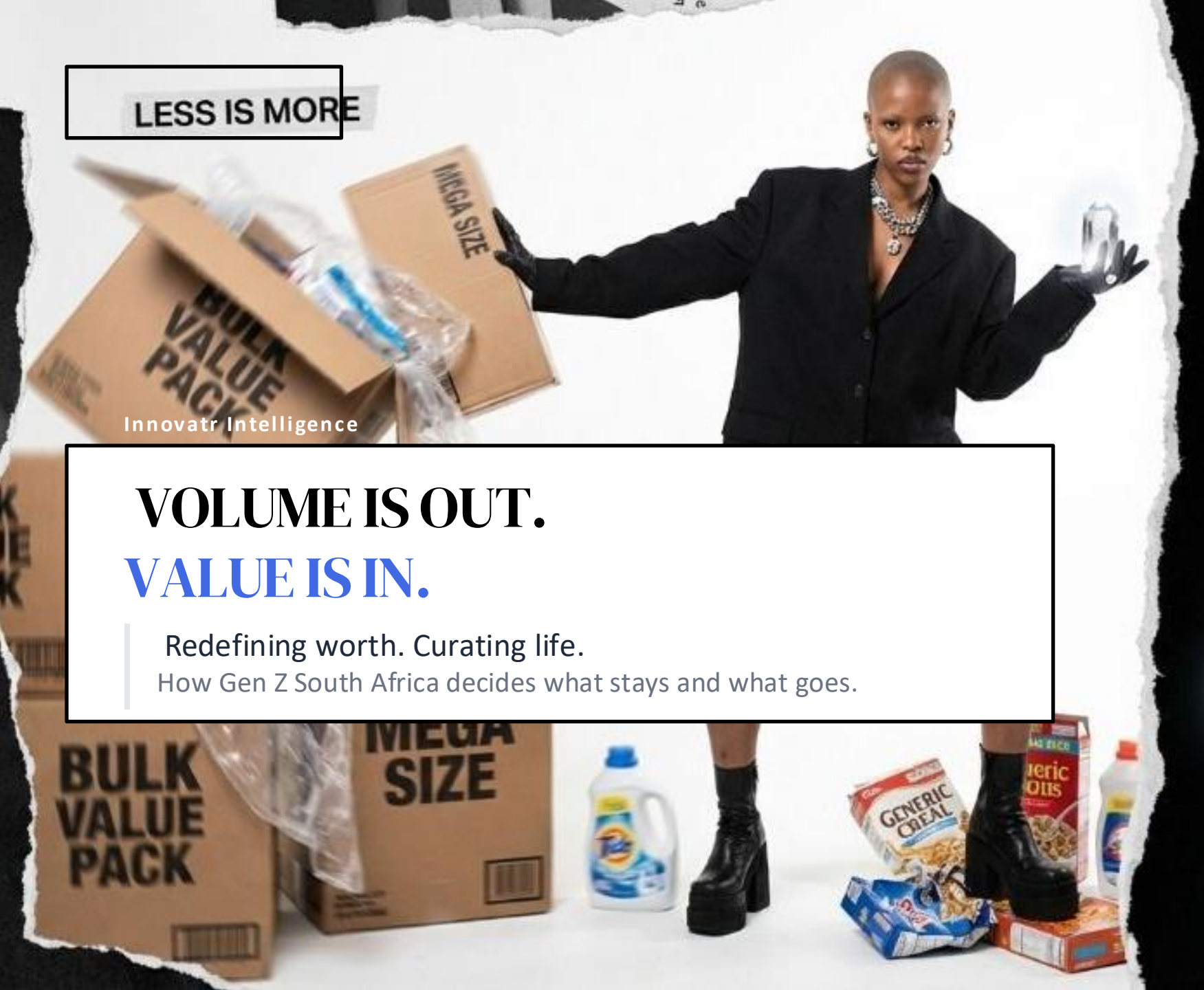


Innovatr Intelligence

VOLUME IS OUT.
VALUE IS IN.

Redefining worth. Curating life.

How Gen Z South Africa decides what stays and what goes.

Section 01

The Logic Flip

Bigger ≠ better anymore.

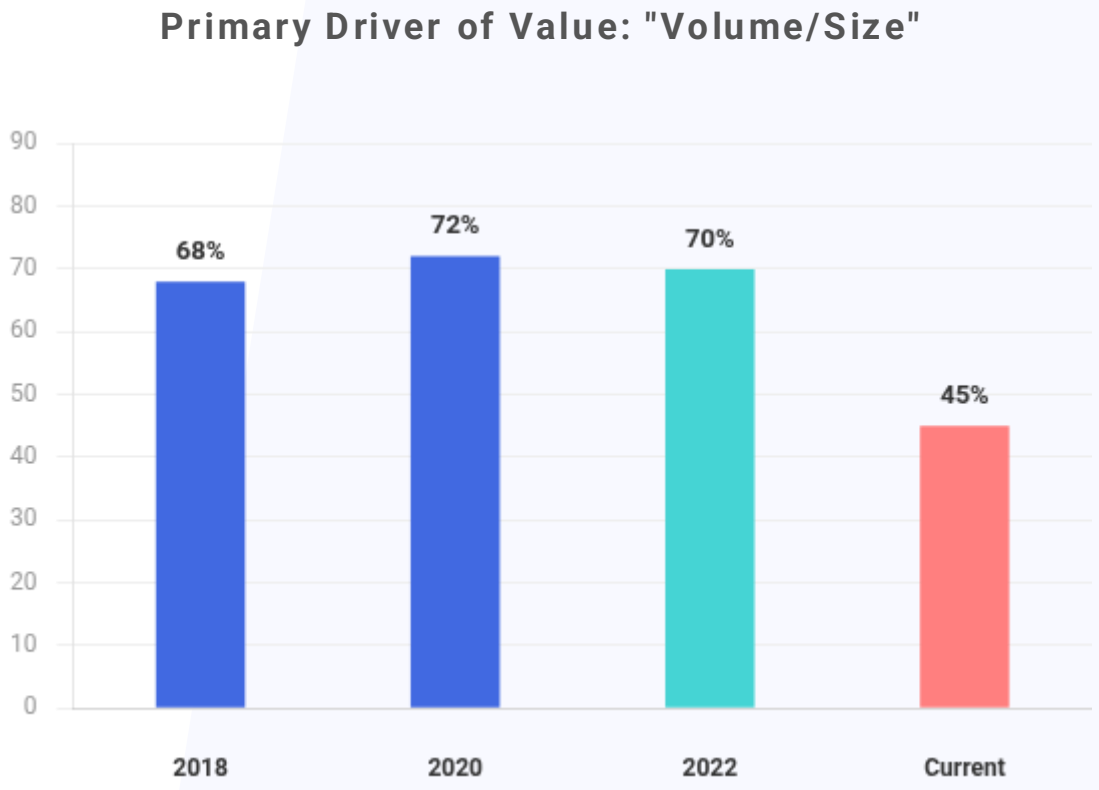
01

The old playbook: More stuff = more value

Bulk used to be the ultimate hack. If it wasn't "jumbo", it wasn't worth the swipe.

We were programmed to hunt for the biggest box on the shelf. The logic? Buy big now, smile later.

The Receipts: Between 2018–2022, 70% of households defined "value" purely by size. Volume was king. Stockpiling wasn't just practical—it was a flex.



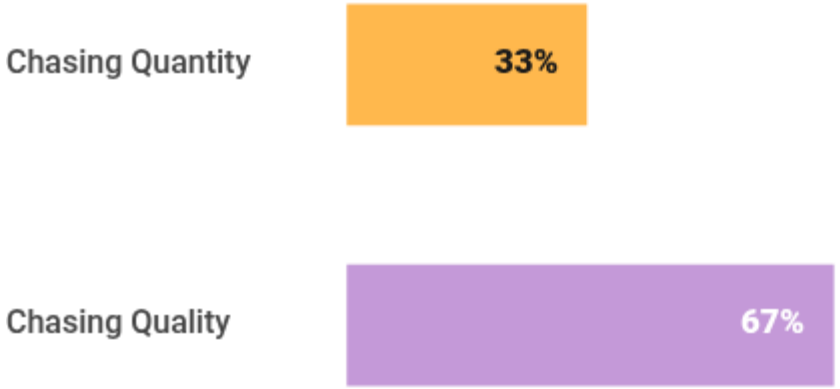
The new rules: Worth it > Big

> **67% of us choose quality over size when the budget gets tight. We're not buying *more*, we're buying *better*.**

The old flex was the biggest box on the shelf. The new flex is the product that actually delivers results.

The Vibe Shift: Value is now filtered through justification. Does it work? Will it last? Can I explain this purchase without feeling like I wasted cash?

Shoppers are trading "bulk buys" for "smart buys." Big trash is still just trash.



Why now? Every rand gets interrogated

Budgets are tight. Vibes are off. Brands need to bring receipts, not just volume.

The Math Ain't Mathing

Wages are flat. Prices are up. The gap between "want" and "can actually afford" is getting real wide, real fast.

The Month-End Scaries

Electricity and data are unpredictable. Nobody's stocking up on bulk when they might need that cash for lights tomorrow.

Trust Issues

Prices change faster than trends. When the "usual" price disappears, loyalty goes out the window. We're re-evaluating everything.

SECTION 02

What the data actually shows

Real shifts. Real choices.

02

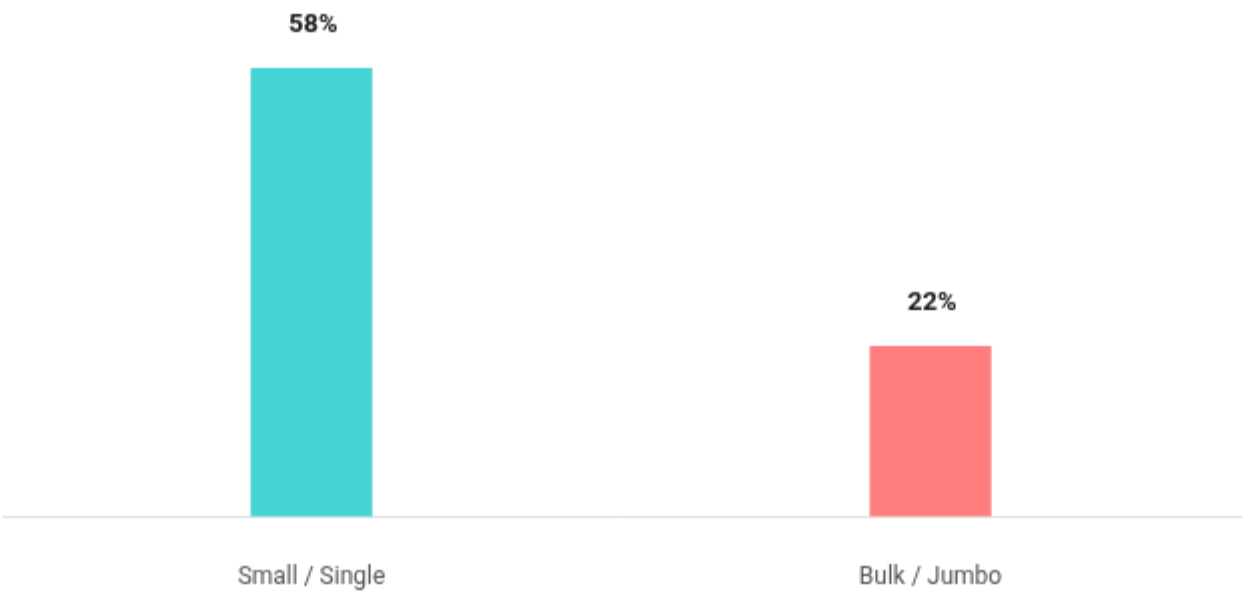
Smaller packs, *more often*.

> **58% of consumers are choosing smaller packs more frequently. "Right now" affordability beats bulk efficiency.**

Cash flow is tight. Stocking up feels like a luxury most can't justify. People are trading down in size to keep the basket total low.

The Shift: Immediate liquidity > Long-term savings. The traditional logic of "bulk savings" is being overridden by the daily hustle.

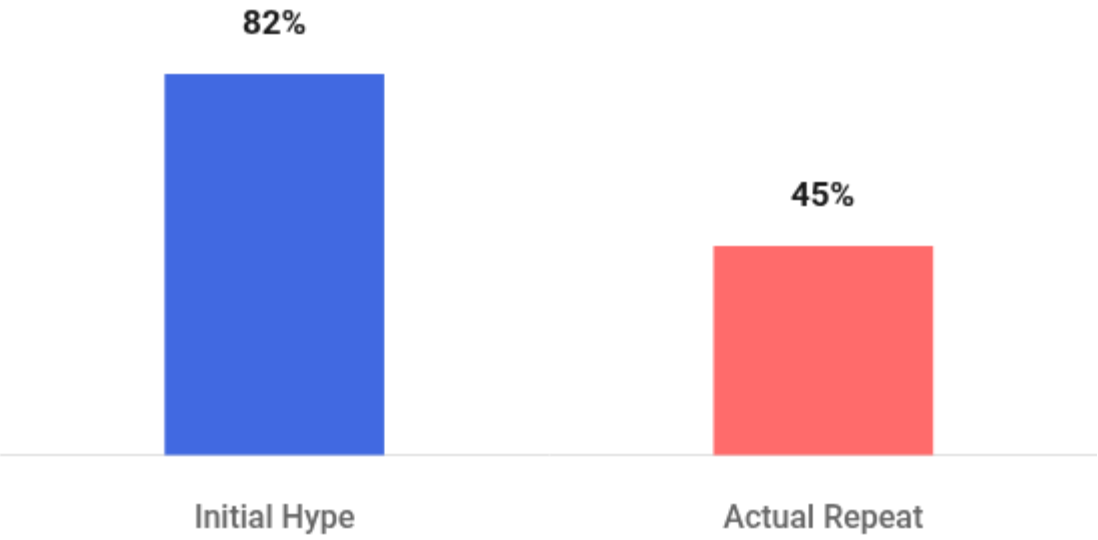
High frequency. Low ticket. Done.



Bulk is broken.

Math says yes. Wallet says no. High upfront costs are killing the repeat loop.

Shoppers grab the deal once because the "value" is obvious. But when it's time to restock, they realize they can’t lock up that much cash again. We are trading volume for flexibility.



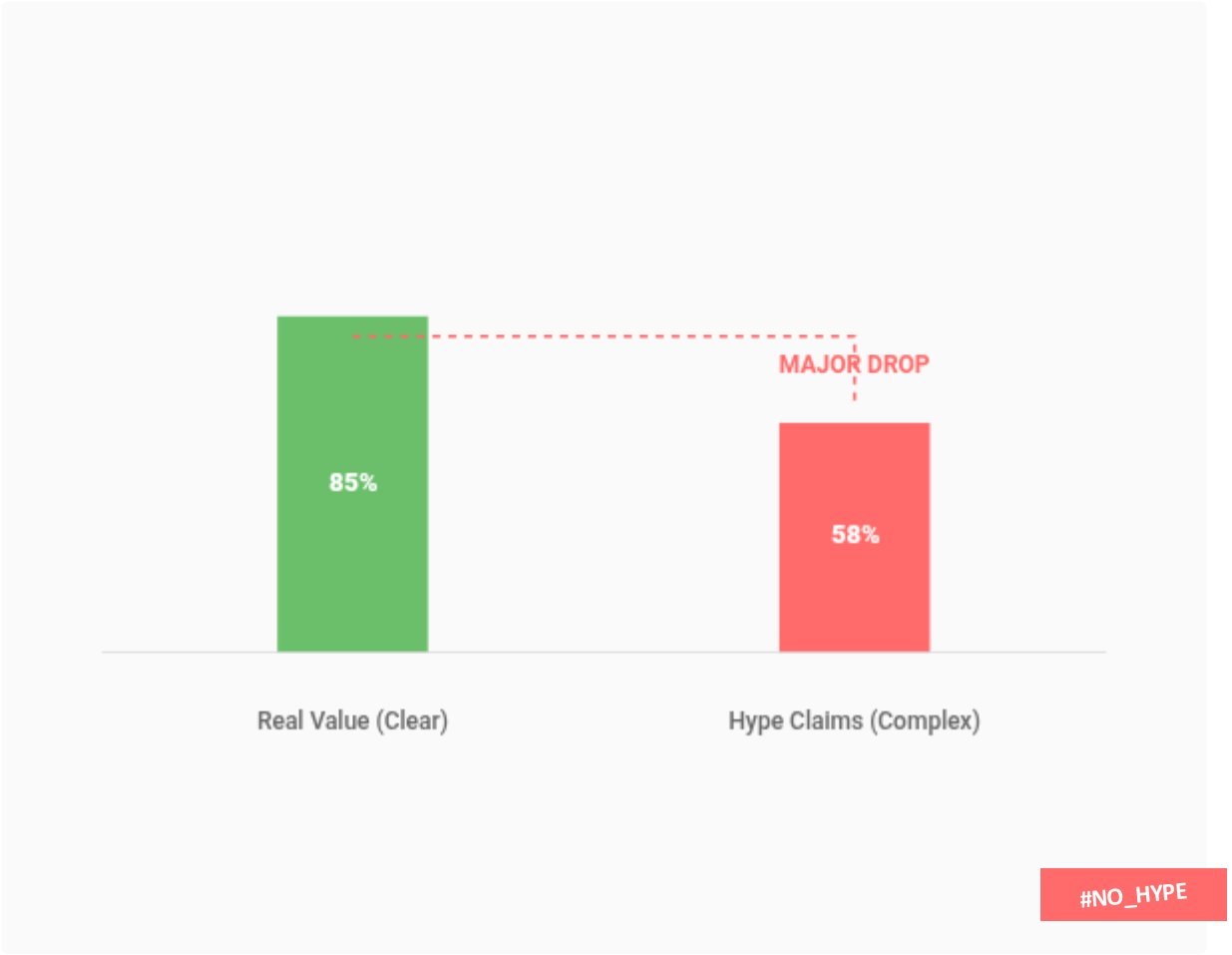
Promo fatigue: ‘More for less’ is done.

Exaggerated claims = instant ick. When promos feel like math homework, people check out.

The era of aggressive "Buy 3, Save 12%" complexity is over. It feels like a trap, not a trap, not a deal.

The Vibe Shift: Transparency is the new currency. Over-claiming volume just volume just triggers the "what's the catch?" alarm. If the value isn't obvious in 2 obvious in 2 seconds, it's a skip.

Shoppers want straight talk, not a calculator.

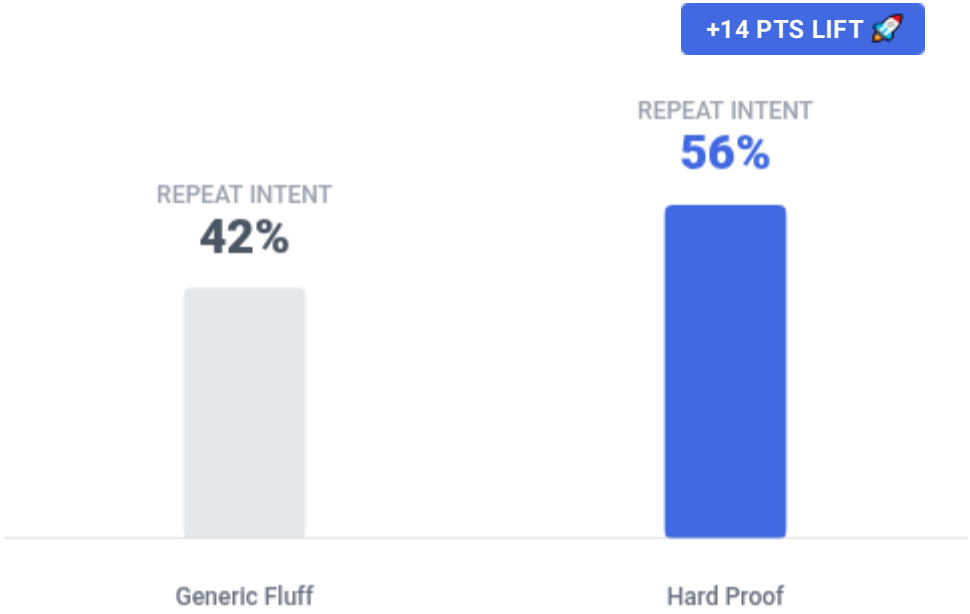


Quality signals = repeat wins

Vague claims get left on read. Specific proof secures the bag.

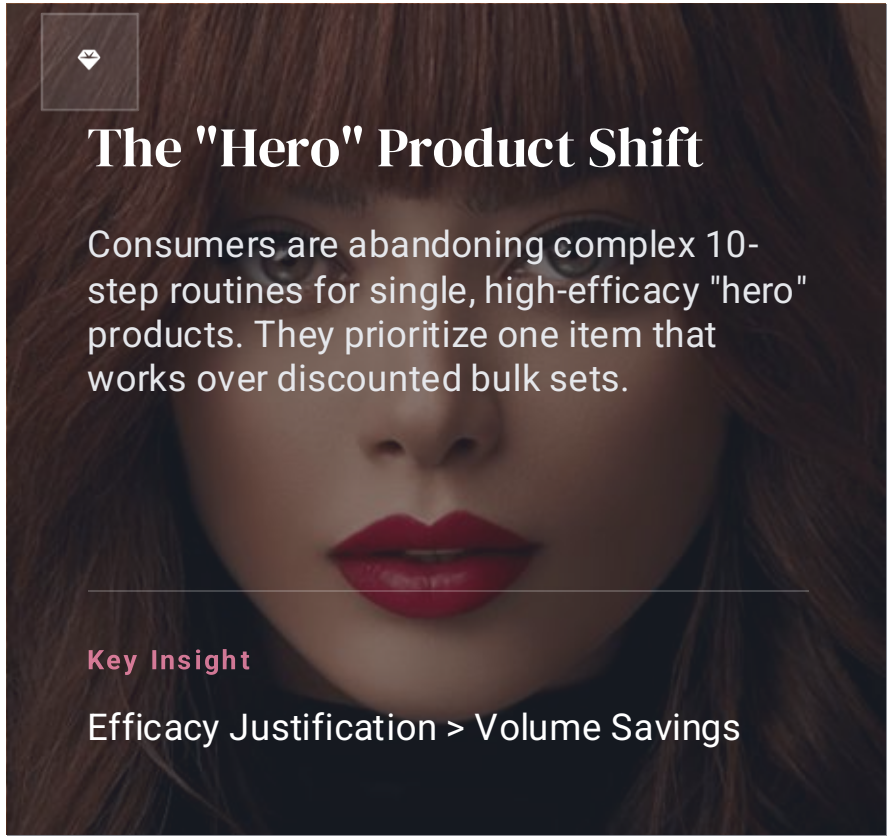
Receipts > Hype. The BS radar is at an all-time high. Consumers fear the "regret risk" of cheap products that don't work.

- "Great Value" feels like a scam.
- Concrete stats ("2x stronger", "50 uses") act as an instant trust anchor.



Category Focus | Beauty & Personal Care

Beauty: Entry premium beats full routine bundles



The "Hero" Product Shift

Consumers are abandoning complex 10-step routines for single, high-efficacy "hero" products. They prioritize one item that works over discounted bulk sets.

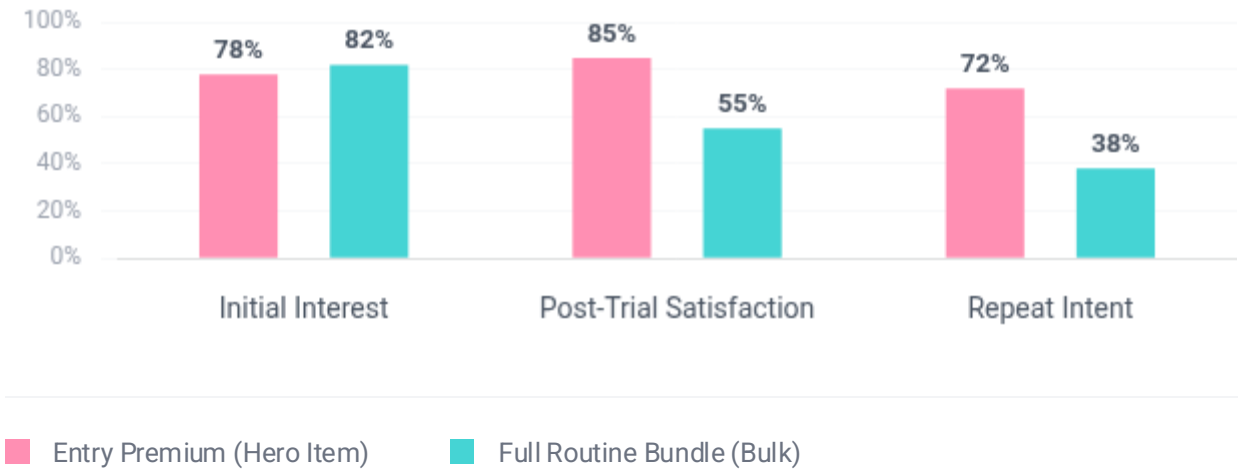
Key Insight

Efficacy Justification > Volume Savings

> **"Shoppers pay for efficacy they can justify, not volume of steps."**
>
> Focused hero items outperform complex routines.

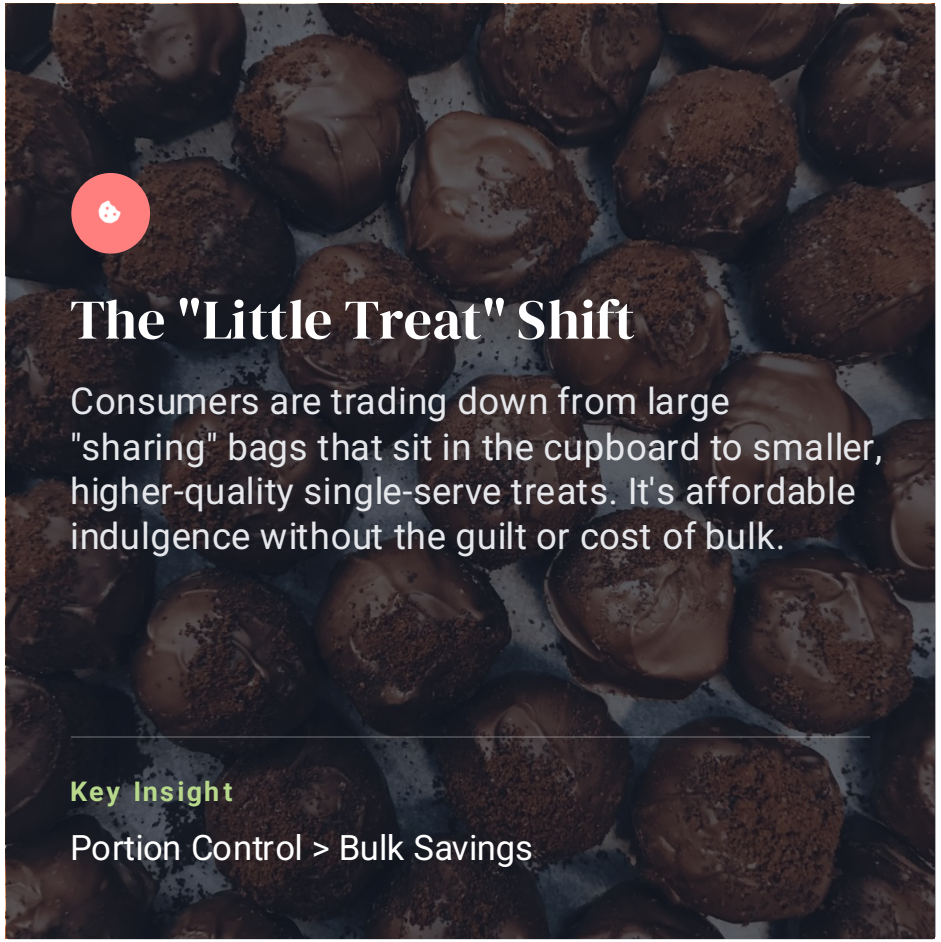
Repeat Purchase Intent

Single High-Performance SKU vs. Multi-step Bundle



Category Focus | Food & Snacking

Food: Controlled indulgence over large share packs



The "Little Treat" Shift

Consumers are trading down from large "sharing" bags that sit in the cupboard to smaller, higher-quality single-serve treats. It's affordable indulgence without the guilt or cost of bulk.

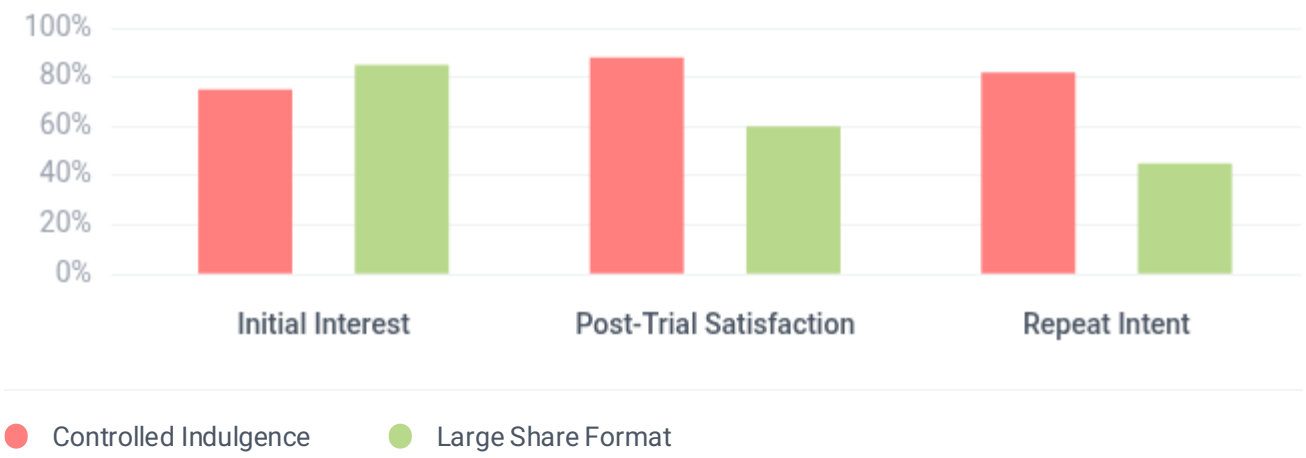
Key Insight

Portion Control > Bulk Savings

> **"Small joy protection without over-commitment."**
>
> Portionable treats and single-occasion quality outperform large formats in repeat purchase frequency.

Repeat Purchase Intent (6 Month View)

Comparing Controlled Indulgence Formats vs. Large Share Packs



Category Focus | FMCG & Groceries

FMCG: Craft and simplicity beat ‘extra large’

The "Substance Over Size" Shift

Shoppers are increasingly skeptical of "Mega Packs" that dilute quality. The data shows a decisive move towards products that signal "care in production" rather than just "efficiency in manufacturing."

Key Insight

Perceived Quality > Sheer Volume

> **"Shoppers reward perceived substance over sheer volume."**
>
> Clear craft cues outperform size-led claims.

Consumer Response to Packaging Cues

Comparing Craft vs. Volume Claims

Section 03

The SA amplifier

Why this hits different here.

03

The South African Amplifier: Layered Financial Responsibility

Many households support multiple dependents beyond the nuclear family. Purchases must serve shared needs, not just fill cupboards.

The "Black Tax" Reality

A single income often stretches to support extended family networks. Disposable income is lower than salary slips suggest, making every wasted rand a failure of duty.

Multi-Generational Homes

With grandparents, parents, and children under one roof, products must be versatile. Niche items are rejected in favor of "one-pack-fits-all" solutions.

Democratized Value

Personal indulgence is sacrificed for shared utility. The "gatekeeper" shopper prioritizes items that offer safety and guaranteed usage for the entire household.

Inflation memory shapes expectations

Price Recall Sensitivity

78%

of South African shoppers

Can accurately recall the price of their top 5 staple items from 6 months ago.

Consumers act as their own auditors. Past prices serve as a rigid "anchor point" for fairness. When current shelf prices exceed this anchor without a visible increase in value or justification, trust erodes instantly.

The "Fairness" Gap

Purchase intent drops significantly when price increases are perceived as "opportunistic" rather than inflationary.

High sensitivity to shrinkflation

Pack downsizing is quickly noticed and penalised. In a low-trust environment, clarity beats concealment every time.

Rapid Detection

Shoppers are scrutinizing weight labels more than ever. 78% of consumers notice when a familiar pack feels lighter before checking the grammage.

Trust Erosion

Hidden downsizing is perceived as direct betrayal. "Silent shrinking" correlates with significant drops in NPS among previously loyal customers.

Active Rejection

Discovery triggers punishment. Unlike transparent price increases, shrinkflation drives consumers to permanently delist brands from their repertoire.

Emotional fatigue reduces: Tolerance for waste

People avoid unused volume and complex routines. Simpler, right-sized offers feel kinder to budget and mindshare.

Waste Aversion

Seeing half-used large bottles gather dust triggers financial guilt. Consumers choose formats they will finish completely to avoid throwing money away.

Decision Load

Complex multi-step routines or "mix and match" offers add mental labor. Shoppers gravitate toward singular, clear solutions requiring less processing.

Clutter Control

Physical clutter contributes to stress. Smaller, frequently replenished packs keep homes organized and manageable, rather than stockpiled.

"Worth it" redefined: Justifiable > Visible

Decision Weighting

3.4x

Influence on premium purchase decisions when justification is clear.

Justification | Volume

77% Impact | 23%

Pride in smart, durable choices replaces big-bag bravado.

The consumer mindset has shifted from "How much can I get?" to "Can I defend this purchase?" Products that offer a clear, logical justification—longevity, versatility, or guaranteed performance—are outperforming those that simply offer more volume.

The Kitchen Table Test

If a consumer can explain the "smart logic" of a purchase to their household in one sentence, price sensitivity drops by nearly 20%.

Section 04

Where brands fumble

Chasing volume when value is the play.

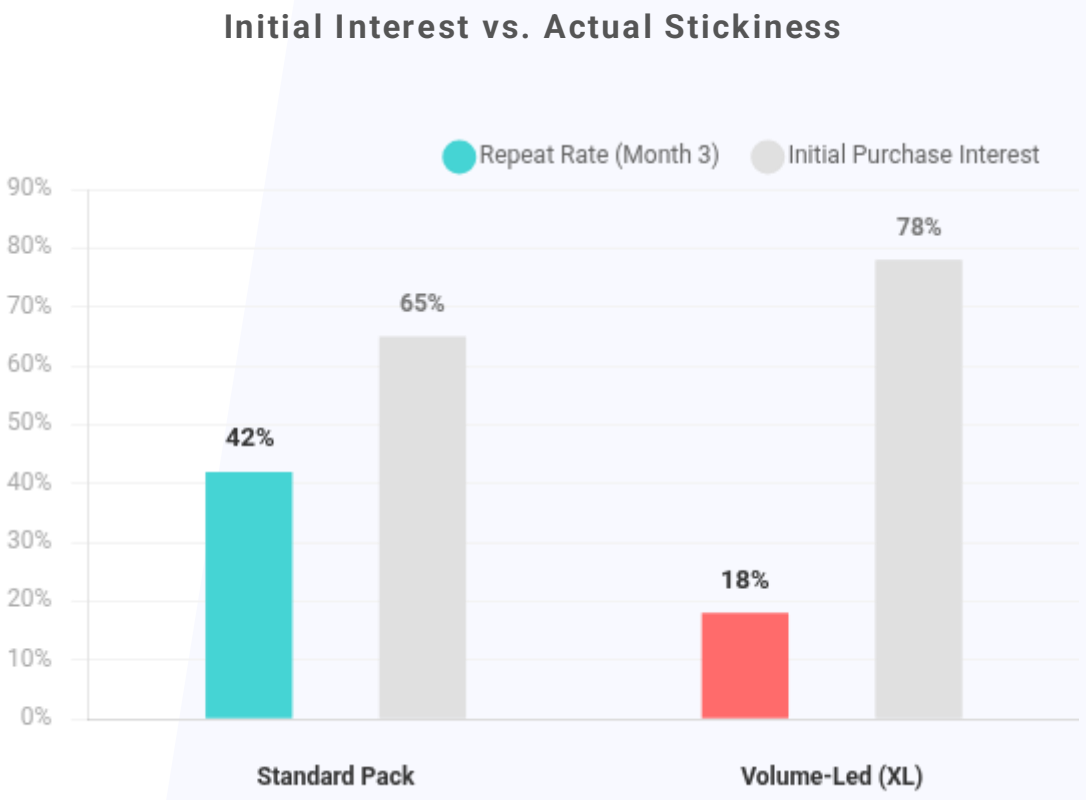
04

The 'bigger is better' trap

Volume-led innovation often misaligns with demand—high interest, low loyalty.

Brands launch "Jumbo" variants expecting growth, but the reality of cash outlay and usage fatigue kills repeat rates.

The Disconnect: Stickiness fades as the "deal" feeling wears off. Initial interest doesn't guarantee long-term adoption.

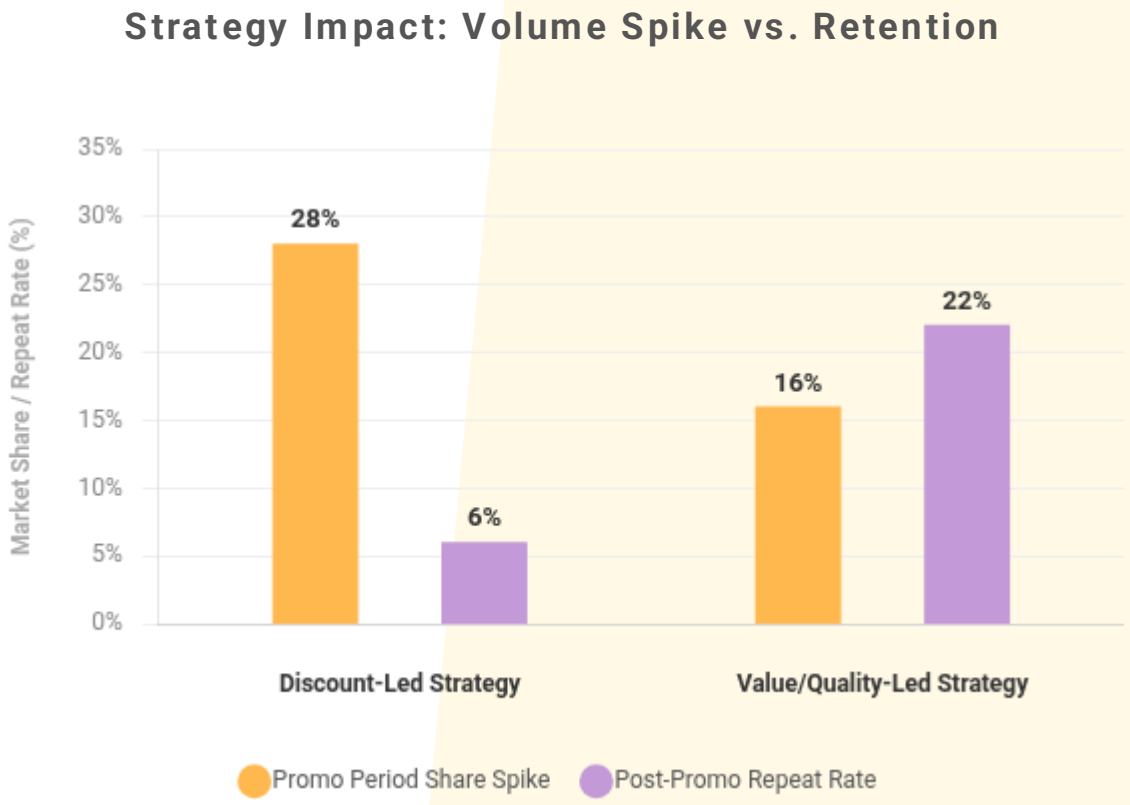


Discount overreliance: Deals rent users; quality keeps them

Price cuts without experience gains create a "sugar rush" of volume but fail to build lasting loyalty.

Deep discounting captures "deal-loyal" shoppers who switch brands based solely on price tag, inflating short-term metrics.

The Retention Gap: While discount-heavy strategies spike share during promos, they suffer massive drop-offs immediately after. Quality-led strategies retain nearly 3x more users.



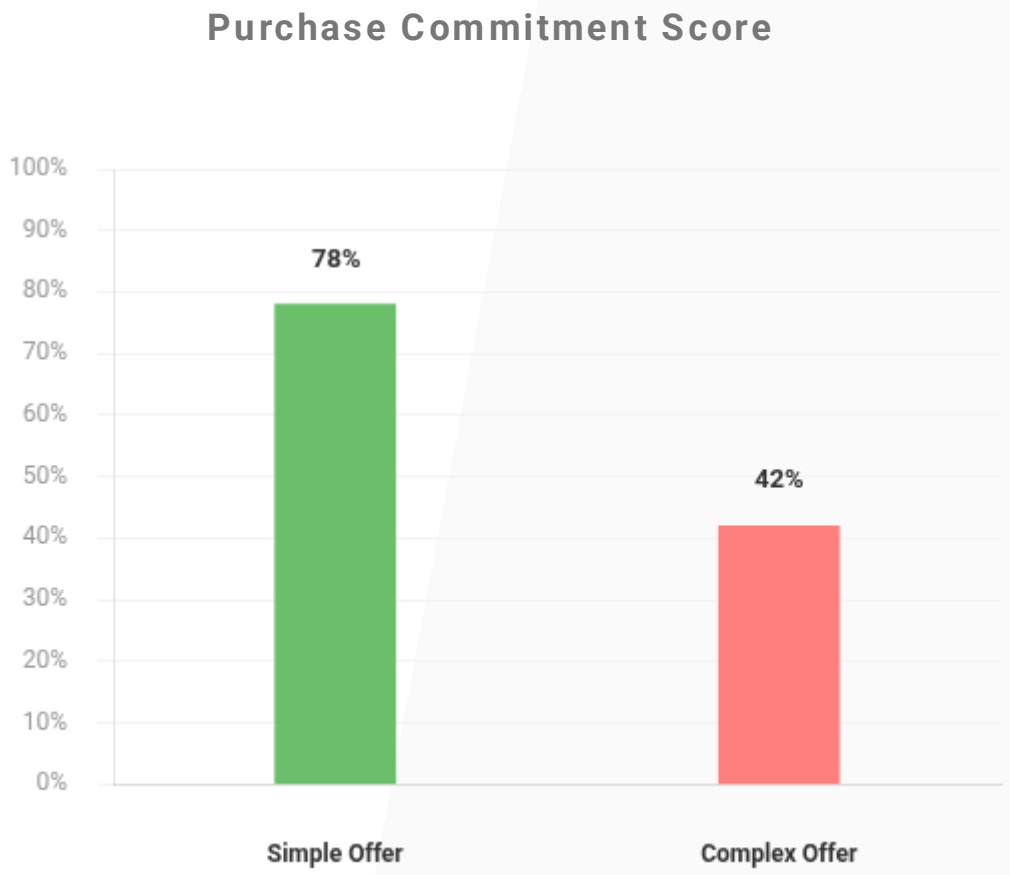
Overcomplicated claims: Complexity kills conversion

Confusing promotions reduce confidence. When value mechanics require mental arithmetic, consumers assume the house wins.

Shoppers are currently navigating high cognitive load. Offers that require calculation (e.g., "Buy 3, get cheapest 50% off") trigger hesitation rather than excitement.

The "Math Tax": Our data shows a sharp divergence in purchase commitment between clear, single-unit value and complex multi-step mechanics.

Clarity lowers perceived risk. If they can't instantly calculate the saving, they don't trust the value.



Interest is high; repeat softens when value is unclear

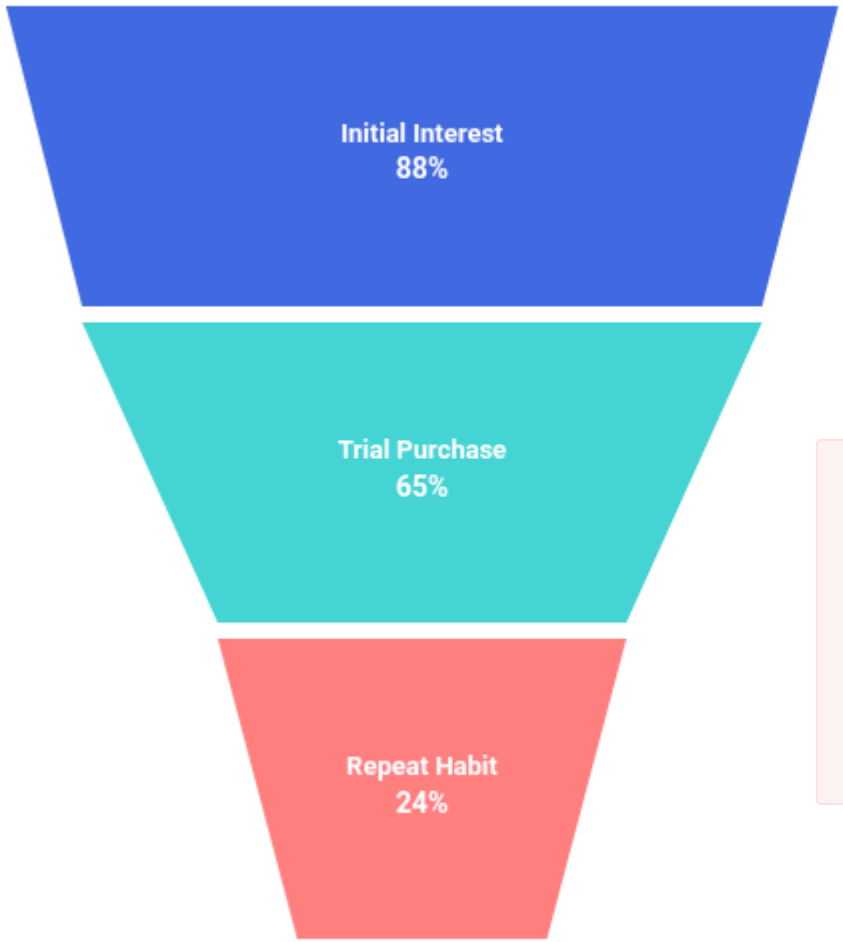
> **"Curiosity gets them to the shelf. Justification keeps them coming back."**
>
> Without a clear value-in-use equation, initial excitement fails to convert into habit.

The "Why" Gap

Consumers report high willingness to try new "value" formats, but 65% abandon them after the first purchase if the quality trade-off feels too steep.

Retention Fall-off

-62%



Critical Drop-off Point

Trial occurs, but the "unclear value" fails to drive the second purchase. The product is tested, found wanting, and exited.

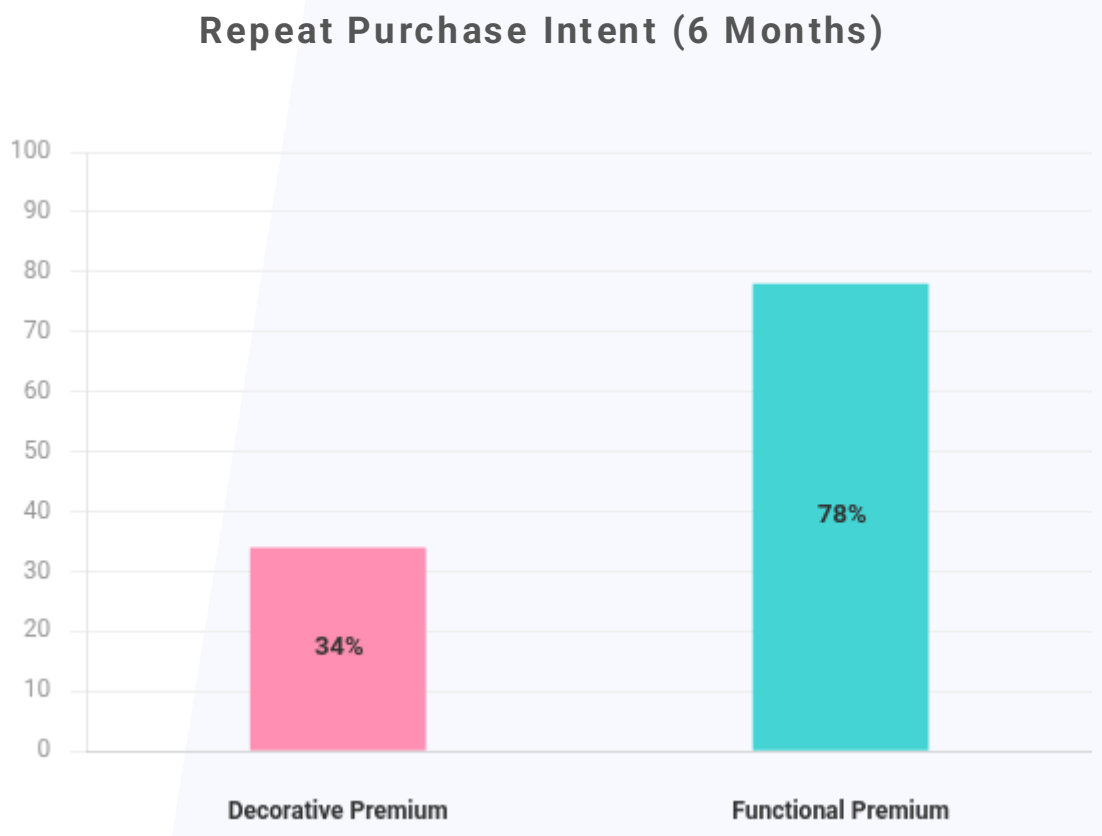
Premium misinterpreted as decorative

Premium must feel durable or functional, not just ornamental.

In a high-inflation environment, the definition of "Premium" shifts from exclusivity to efficiency. Consumers are interrogating the price gap.

The "Gold Foil" Trap: Innovatr testing reveals that innovations focused purely on aesthetics—like premium finishes or limited edition prints—see sharp drop-offs.

Conversely, "Functional Premium"—claims of concentration, longevity, or specific problem-solving—successfully bridges the value gap.



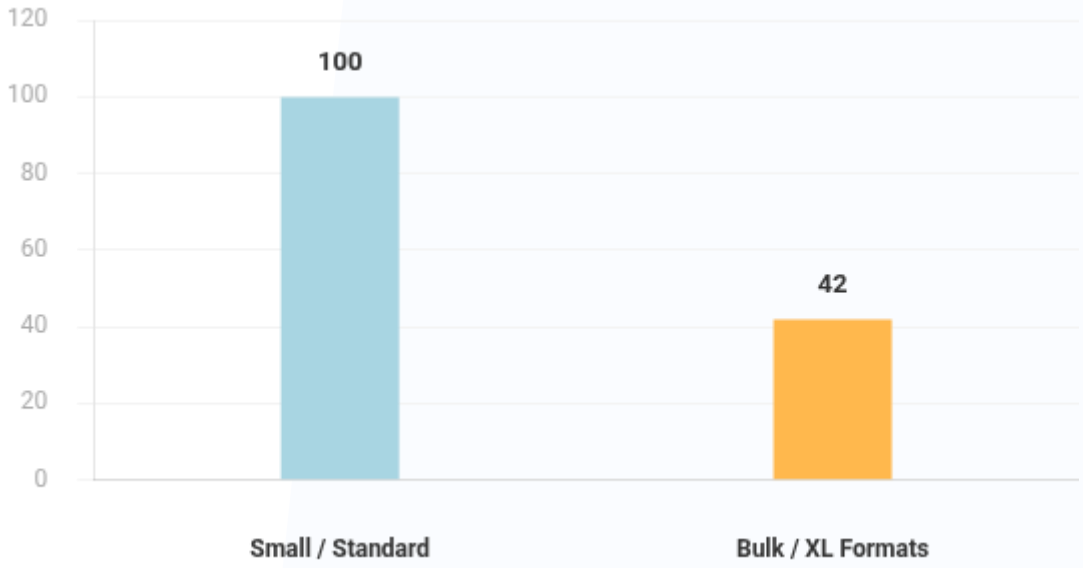
Frequency erosion under volume-heavy strategies

Large formats kill purchase cadence. When they stock up, they check out.

Volume-heavy strategies trade long-term visibility for short-term spikes. Innovatr data proves that bulk buyers visit the category significantly less often than standard pack buyers.

The Visibility Gap: Fewer trips = fewer chances to cross-sell or build brand equity. Right-sizing is essential for momentum.

Annual Purchase Frequency Index (Standard = 100)



Section 05

The playbook

Design for value growth, not volume theater.

05

Make It Make Sense

Give them the logic to justify the cart.

Show The Receipts

Vague claims get skipped. Specific outcomes get bought. Stop fluffing, start proving.

The Glow Up

"New Formula" → "Clear Skin in 3 Days"

Translate The Size

Nobody speaks milliliters. Speak in meals. Anchor value in real life, not math class.

The Translation

"750ml Jar" → "20 Family Dinners"

Micro-Price It

Sticker shock is real. Break the big scary number down into tiny "daily coffee" costs.

The Breakdown

"R150.00" → "Only R5 / Wash"

The Growth Stack

You've got **clarity** → Now increase **certainty** | Scale **access** | Accelerate **execution**

Test 24 Basic

Validation

Fast concept screening to find your strongest starting point.

- **"Which ideas win?"**

UPGRADE

Test 24 Pro

Deep Certainty

Diagnose *why* it wins and fix the gap between Interest and Commitment.

- **Simulate real choice**
- **"How do we win harder?"**

Memberships

Scale Access

Unlock team access so decisions stay joined-up, not bottlenecked.

Consult

Strategy

Expert guidance on "what now?"

Workshops

Alignment

Turn insights into owned action.